Knowledge, Bargaining Power, and the Instability of International Joint Ventures

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KNOWLEDGE, BARGAINING POWER, AND THE INSTABILITY OF INTERNATIONAL JOINT VENTURES

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Although the high rate of instability of international joint ventures (IJVs) has been well documented, the underlying reasons for the instability need clarification. In this article, we develop a theoretical framework for instability of IJVs grounded in a bargaining power and dependence perspective. *Instability* is defined as a major change in partner relationship status that is unplanned and premature from one or both partners' perspectives. The core argument is that the instability of IJVs is associated with shifts in partner bargaining power. Shifts in the balance of bargaining power occur when partners of an IJV acquire sufficient knowledge and skills to eliminate a partner dependency and make the IJV bargain obsolete. Our primary focus is on the acquisition of local knowledge by the foreign partner and the impact that this acquisition of knowledge has on the stability of the IJV.

As competition increasingly becomes more global, many firms are using alliances to enter new markets, obtain new skills, and share risks and resources. Despite the surge in their popularity, international alliances are often described as inherently unstable organizational forms. Porter (1990), for example, observed that alliances involve significant costs in terms of coordination, reconciling goals with an independent entity, and creating competitors. Porter suggested that these costs make many alliances transitional rather than stable arrangements and, therefore, alliances are rarely a sustainable means for creating competitive advantage. Supporting this argument, authors of several empirical studies of alliances have found instability rates of close to 50% (e.g., Bleeke & Ernst, 1991; Kogut, 1988). Based on the finding that 24 of the 49 international alliances they studied were considered failures by one or both partners, Bleeke and Ernst (1991) suggested that most alliances will terminate, even successful ones.

Alliances also have been described as a *race to learn,* and the partner that learns the fastest dominates the relationship (Hamel, 1991). According to this scenario of inevitable instability, there are clear winners and

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losers. However, some international alliances survive and prosper for many years, and both sides become more competitive through a win-win relationship. This example raises the issue of why some international alliances are more stable than others. We address this issue by examining equity-based international joint ventures (IJVs). An equity-based JV is an alliance that combines resources from more than one organization to create a new organizational entity (the "child"), which is distinct from its parents. Equity-based JVs are considered hierarchical because they more closely replicate some of the features associated with organizational hierarchies than do other alliances (Gulati, 1995). Siecor, an alliance between Siemens and Corning, provides an example. In this JV, the partners brought together their complementary capabilities in telecommunications and glass technology to build an independent organization with its own headquarters, CEO, board of directors, and staff. An IJV is a JV with two or more parents of different nationality. Our focus is on IJVs based in the home country of one of the partners, which we call the *local partner*. The partner operating outside its country of domicile is referred to as the *foreign partner*.

A variety of strategic objectives have been suggested to explain firms' motives for the formation of IJVs (Contractor & Lorange, 1988; Hennart, 1991; Kogut, 1988). A firm that enters a foreign market for the first time is likely to use a joint venture; this is also true for the foreign firm that seeks to obtain access to resources controlled by local firms (Hennart, 1991). In both situations, IJVs are often chosen because the alternatives of replicating a complete operation via full acquisition or greenfield investment are too costly and because the local partner controls resources deemed useful to the foreign partner. An IJV may be designed to market a product in the local market, or it may be involved in the sourcing of materials, components, or technology, possibly for use in the foreign partner's home market. IJVs are widely used as a mode of direct foreign investment. For example, Makino (1995) found that almost 70% of Japanese direct investments in manufacturing in Asia as of 1991 were via IJVs.

Regardless of the specific venture objective, our primary interest, like that of Yan and Gray (1994) and Parkhe (1991), is IJVs in which the foreign partner seeks a viable long-term presence in a country via direct investment. In this type of IJV, it would be unusual for the local partner not to contribute some local knowledge. The primary knowledge contribution of foreign partners generally involves technology, management expertise, and global support (Yan & Gray, 1994). Note that we are not suggesting that the only contribution of a local partner is local knowledge. In another section of this article, we suggest that if local partners take steps to ensure that their roles encompass more than a one-time contribution of local knowledge, instability may be controllable. Nevertheless, even when technology sourcing or risk sharing are important objectives of the foreign partner, if the venture is international, it is likely that the local partner possesses important local knowledge.[1]

Unlike alliances such as R&D partnerships or licensing agreements, contracts between IJV partners are often executed under conditions of high uncertainty, and, therefore, it is highly unlikely that all future contingencies in an IJV can be anticipated at the outset. As IJVs grow, they may develop an identity and a culture distinct from that of the partners, adding to problems of coordination. Also, the collaborative motives for IJVs are often different from other alliances; therefore, statements generalizing about the instability of alliances should be interpreted carefully.[2] The factors associated with instability of IJVs are not necessarily the same as those for all types of alliances.

In the literature on JV instability, various factors have been identified as causes of instability, including changes in partners' strategic missions (Harrigan & Newman, 1990), changes in importance of the JV to the parents (Harrigan & Newman, 1990), increases in the competitive rivalry between partners (Kogut, 1989), the foreign investment climate of the host country (Blodgett, 1992), and the existence of prior relationships between the partners (Blodgett, 1992). Although these factors may be associated with instability, and in some cases provide a strong indication that instability is imminent, they provide incomplete explanations for the instability of IJVs.

Our interest is instability that results from factors endogenous to the IJV relationship. Figure 1 illustrates the boundaries of the article and the conceptual orientation. Factors creating instability as a result of reasons exogenous to IJVs (e.g., changes in foreign country investment or ownership regulations; shifts in political regimes) are for the most part not controllable by managers of IJVs and are outside the scope of this article. We argue that the primary factor contributing to instability, and a factor that can be controlled by firms in IJVs, is a shift in partner bargaining power associated with the acquisition of knowledge and skills that allows a firm to eliminate a partner dependency. With a few exceptions (Hamel, 1991; Parkhe, 1991; Yan & Gray, 1994), the literature on IJVs has not addressed this issue in detail. Thus, the departure in this article is the focus on factors that *enable* firms to make the IJV bargain obsolete. We explore the question of how IJV firms, and in particular foreign partners, are able to create an unstable environment.

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[1] When government legislation prohibits wholly owned subsidiaries, silent partners that contribute little more than a means to bypass legislation may be used. Also, if a foreign partner cannot legally become sole owner of the JV, our stability arguments do not hold. However, as trade and investment opportunities have become more liberal, particularly in developing countries, few countries continue to mandate the use of JVs for foreign investment.

[2] For example, licensing agreements and arrangements for sharing technology have gained notoriety as vehicles for licensee firms to build their own skill base and shift the alliance of power in their favor. An article that describes the competitive implications of sharing technology with a potential competitor was written by Reich and Mankin (1986). These authors focused on high-technology agreements in which the U.S. partner acquired and distributed Japanese products (in effect, outsourcing relationships). Note that these are not JVs according to our definition.

Firms contribute various types of knowledge and skills to their IJVs. For local partners, a critical knowledge contribution revolves around an understanding of local market, cultural, and environmental conditions. Although the foreign partner does not necessarily enter the IJV with the specific objective of knowledge acquisition, *access* to knowledge originating in the local country is an important factor in motivating the foreign partner to choose an IJV investment rather than full ownership. We propose that as the foreign partner's local knowledge and its commitment to acquire local knowledge increase, the probability of the instability of the IJV also increases because of changes in partner dependency. We also argue that the acquisition of technology-based knowledge by the local partner, although possible, is less likely to be a factor in creating instability than is the foreign partner's acquisition of knowledge.

The local knowledge argument complements the well-developed theme in the international management literature concerning the frequent conflict between global and local optimization of strategy (e.g., Bartlett & Shoshal, 1989; Franko, 1971). Given these conflicting demands, two closely related questions are addressed in this article. First, when a multinational enterprise (MNE) involved in an IJV as a foreign partner decides to pursue a localization strategy (i.e., a strategy of operating autonomously in the local environment), how can it happen? We argue that the MNE's acquisition of local knowledge *enables* the MNE to make the transition from an IJV to a subsidiary. We also suggest that an important distinction has to be made between the effect that local knowledge has on stability and the decision to acquire the knowledge. For example, an MNE may decide that its IJV should be a wholly owned subsidiary. Unless the MNE has acquired the local knowledge necessary to manage the venture autonomously, a wholly owned subsidiary is not a viable option. Thus, the acquisition of local knowledge can facilitate the transition to a subsidiary, and it is a necessary factor in the decision.

The second and equally important question involves the factors that influence the foreign partner's decision and ability to acquire local knowledge. In some IJVs, the foreign partner may choose not to pursue a localization strategy. In other IJVs, localization may not be possible because the local partner outlearns the foreign partner, which becomes the basis for an obsolete bargain. An examination of these questions requires an analysis of the dynamics of collaborative relationships, so that we can develop a comprehensive framework of the instability of IJVs.

DEFINITIONS AND THEORETICAL UNDERPINNINGS

Local Knowledge

To establish an operational presence in a country, a firm must access local knowledge as a means of overcoming market uncertainties (Stopford & Wells, 1972). IJVs provide low-cost, fast access to new markets by "borrowing" a partner's already-in-place local infrastructure (Doz, Prahalad, &

Hamel, 1990). This infrastructure includes sales forces, local plants, market intelligence, and the marketing presence necessary to understand and serve local markets. Local knowledge also relates to cultural traditions, norms, values, and institutional differences. For example, when Kentucky Fried Chicken entered China, a local partner was considered essential because of the complexities associated with obtaining operating licenses and leases, negotiating employment contracts, and interpreting investment regulations. When a foreign firm does not have local knowledge, as in the case of Kentucky Fried Chicken, an IJV can be used to gain quick access to a local partner's knowledge base. Yan and Gray (1994: 1492) quoted a U.S. manager in a U.S.-China IJV: "We have the technology and certain know-how. The Chinese partner knows how to make things happen in China. You put the two together right, it works."

Instability of IJVs

As indicated previously, the primary factor contributing to instability is a shift in partner bargaining power. Several definitions of instability have been used in the JV literature. Franko (1971) defined a JV as *unstable* when parent holdings changed to include 50% or 95% ownership, a parent sold its JV interest, or the venture was liquidated. Killing (1983) considered both a shift in JV control and venture termination as evidence of instability. Other researchers have adopted a narrower view. For example, Kogut (1989) used venture termination as the sole indicator of instability. However, as Kogut indicated, a JV cannot be considered unstable simply because its lifespan is short. All relationships between firms face challenges that threaten to change or terminate the basis for cooperation. Sometimes terminations are planned and anticipated by the involved parties. Ventures also may be terminated as a matter of policy when there is a change in the ownership or management of the parent. In other cases, difficulties associated with ending a relationship may create a rationale for maintaining an existing JV that would otherwise be terminated.

We maintain that instability should be linked with *unplanned* equity changes or major reorganizations. Usually, instability will result in premature termination of a JV, either when one partner acquires the JV business or the venture is dissolved. A complicating factor is that termination of a JV will not always be a mutual decision (Hamel, 1991; Parke, 1991). The premature termination of a JV may be precipitated by the actions of one partner. For example, when one firm is trying to learn from its partner in order to reduce its dependency, the partner that is doing the learning may have very different longevity objectives than the partner that is providing the knowledge. In this scenario, a terminated relationship would be classified as unstable, because termination was premature from the perspective of the partner that is providing the knowledge. Thus, if at least one of the partners anticipates a long-term relationship, premature termination of the venture would constitute instability. When both partners plan for termination at the time the JV is formed, instability will not be an issue unless termination occurs prematurely.

In keeping with the previous arguments, JV *instability* is defined as a major change in relationship status that was *unplanned* and *premature* from the perspective of either one or both partners. In most JVs, the partners do not have a specific plan for the termination of their ventures.[3] The premature termination of a JV can be traumatic for the venture partners. However, it is important to emphasize that we do not equate JV longevity with JV success. Many firms view JVs as intentionally temporary and recognize that their ventures will not last indefinitely. If a JV termination is an orderly and mutually planned event, the JV may well be evaluated as extremely successful. In fact, a JV that is prematurely terminated also may be evaluated as successful, depending on the criteria used to evaluate its performance.[4]

If an unstable JV involves changes in relationship status, a stable JV, by definition, must be one without unplanned changes in relationship status. However, stable JVs may be terminated when the strategic needs of the partners change. For example, in 1995, Chrysler announced that it was winding down its 25-year alliance with Mitubishi Motors (Templin, 1995). One of Chrysler's objectives in the relationship was access to a source of small cars for the U.S. market. Because Chrysler developed an internal supply of cars, the rationale for the relationship with Mitsubishi was no longer present.

A further consideration is that stability carries a positive connotation. In fact, in the opening section of this article, we linked stability with a win-win relationship. In our view, a stable JV is one in which the partners believe the benefits to the relationship exceed the costs of termination. Nevertheless, a JV may have the outward appearances of stability; however, one partner may view it as unsuccessful because the balance of power has shifted to a degree that is undesirable. In another section of this article, we discuss how the acquisition of knowledge by one partner in what looks like a stable JV can create the potential for instability.

Theoretical Underpinnings

Our framework is conceptually grounded in a bargaining power and dependence perspective. This perspective was developed by Emerson (1962), and it was generalized to the organizational level in Pfeffer and Salancik's (1978) resource dependence model. The essence of the model is

[3] A seldom used option is to incorporate "fade-out" provisions in the JV agreement. This type of venture has been used in China, but it has been largely discontinued. If longevity is not a goal, another option is "contractual" JVs that include a specific termination date. Also, JV agreements sometimes include a specific period of time during which the partners have the option to either renegotiate or modify their agreement.

[4] This definition of instability raises some interesting methodological questions. Specifically, how can the pre-JV motives of the JV partners be measured accurately? A longitudinal approach beginning at, or ideally before, the time of JV formation would provide the richest insights into the collaborative process.

that the possession or control of key resources by one entity may make other organizations dependent on that entity. According to this notion of resource fit, relationships are terminated for the inverse of the reasons for which they were formed (Seabright, Levinthal, & Fichman, 1992). Young and Olk (1994) found support for this argument in a study of U.S.-based R&D consortia. In this study, alliance firms that had gained knowledge as a result of membership in the consortium were more likely to leave the alliance.

In a cooperative relationship, dependence can be a source of power for the firm controlling key resources, because, to some degree, each firm can increase or withhold resources that are attractive to its partner (Bacharach & Lawler, 1980). When one firm controls an "irreplaceable" JV resource or input, a dependency situation is created (Hamel, 1991). Although dependency is voluntary when firms choose to form JVs, once the JV is operational, firms depend on their partners for specific resources and inputs. A firm that has the option to contribute or withhold an important resource or input can use that option as leverage in bargaining with its partner (Pfeffer, 1981).

The notion of "cooperative" may seem at odds with dependence and power. However, the key point is that at the time an IJV is formed, each partner is dependent on the other(s) for critical inputs. Thus, the firms must cooperate to ensure that these critical inputs are transformed into a productive entity (i.e., the IJV). Over time, the dependence may change, and as a result, the bargaining power of one partner may be enhanced. When that happens, the JV partner with the increased bargaining power has access to more partners and options, including terminating the venture, compared to the partner with limited bargaining power (Yan & Gray, 1994).

The bargaining power perspective is particularly appropriate for the examination of the stability of JVs, because all JVs involve a negotiated bargain between the partners. At a general level, bargaining power in JVs is based on the relative urgency of cooperation, available resources, commitments, other alternatives, and the strengths and weaknesses of each partner (Schelling, 1956). Focusing mainly on domestic JVs, Harrigan and Newman (1990) adopted the view that the relative bargaining power of potential JV partners is determined primarily by what each partner brings to the venture. Rarely will these contributions be symmetrical, because each partner views the potential costs and benefits of cooperating differently. As partners' strategic missions, expectations, loyalties, and resource mixes change, the balance of bargaining power in the JV shifts (Harrigan & Newman, 1990). When the balance of power shifts, and inevitably it will, the need for cooperation between the partners may diminish or disappear. At this point, the parent may decide to undertake all activities that were previously performed by the JV (Harrigan, 1986).

Yan and Gray's (1994) inductive study, perhaps the most systematic exploration of the concept of bargaining power in IJVs to date, identified both resource-based and context-based components of bargaining power. The context-based components, although important, are only indirectly related to the dynamics of the IJV relationship. Given our primary interest in shifts in partner bargaining power associated with the acquisition of knowledge, the resource-based components are of particular interest. The resources and capabilities committed by the partners to the JV were a major source of bargaining power. Expertise in areas such as local sourcing, domestic distribution, and personnel management was the main resource contributed by the local partners (Yan & Gray, 1994). For the foreign partners, resource contributions included expertise and technology for production management and global support.

To link the partner resource contributions directly to bargaining power and to understand the process of bargaining power shifts, concepts of organizational knowledge management must be incorporated in the framework. The pace of knowledge acquisition by one IJV partner is an important process dimension, because, as Hamel (1991) argued, this dimension is very much within the firm's control. Therefore, Hamel identified learning as the most important element in determining relative bargaining power. Substantial knowledge acquisition by one partner over time can erode the value of the knowledge contributed by the other partner, breaking down the bargaining relationship between the partners. This argument forms the fundamental conceptual premise of this article: The acquisition of knowledge and skills can shift an IJV partner's bargaining power and may enable the firm to eliminate its dependency on its partner.

Partners in IJVs acquire knowledge and skills through a process of knowledge management and creation. Although still rather small, there is a growing body of theoretical (Kogut, 1988; Parkhe, 1991; Pucik, 1991; Westney, 1988) and empirical studies (Dodgson, 1993; Hamel, 1991; Inkpen, 1995a; Inkpen & Crossan, 1995; Simonin & Helleloid, 1993) addressing the issue of JVs and alliances as mechanisms for gaining access to partners' knowledge and skills. When a JV is created, organizational boundaries become permeable. This permeability provides firms with a "window on their partners' broad capabilities" (Hamel, Doz, & Prahalad, 1989: 134). Consequently, knowledge creation and learning should be viewed as potential strategic benefits of joint venturing.

By forming a JV, partner firms may gain access to the embedded knowledge of other organizations and, therefore, to new organizational skills and capabilities. Through their involvement in the operation of the JV, firms can learn from their partners. Huber (1991) called this *grafting,* the process by which firms internalize knowledge not previously available within the organization. Knowledge perceived as potentially useful for the organization may be acquired by individual managers or organizational subunits, such as a JV (Inkpen, 1995b). This knowledge has the potential to be shared and distributed within the organization, and through processes of amplification and interpretation, the knowledge is

FIGURE 1
Boundaries of the Article: Partner Knowledge, Bargaining Power, and the Instability of International Joint Ventures (IJVs)

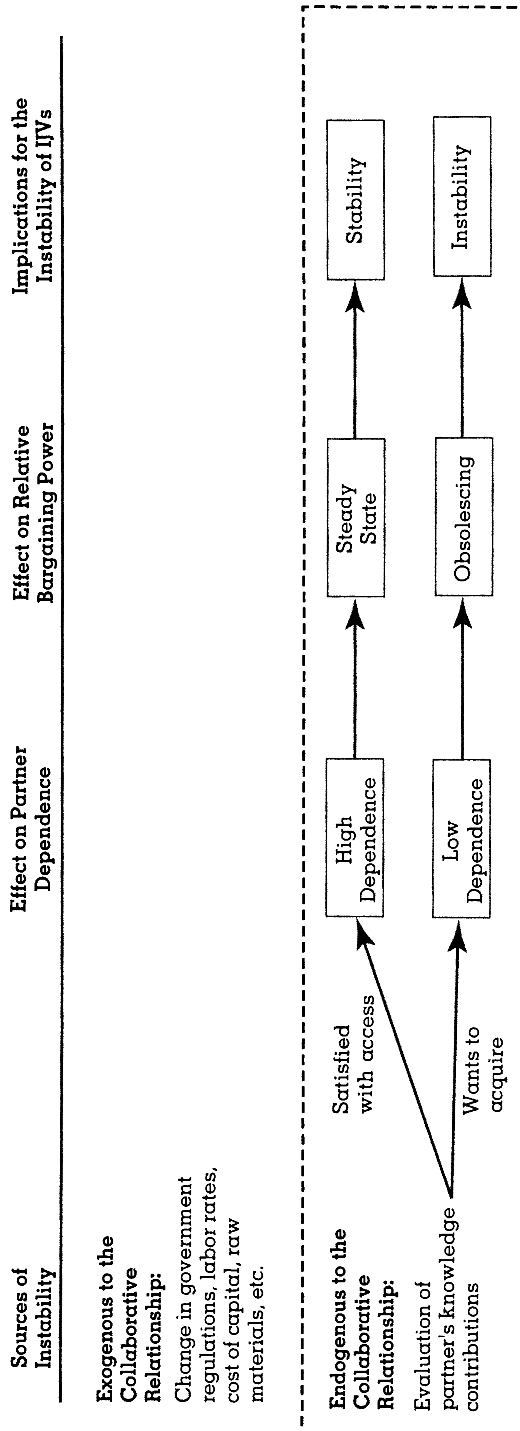
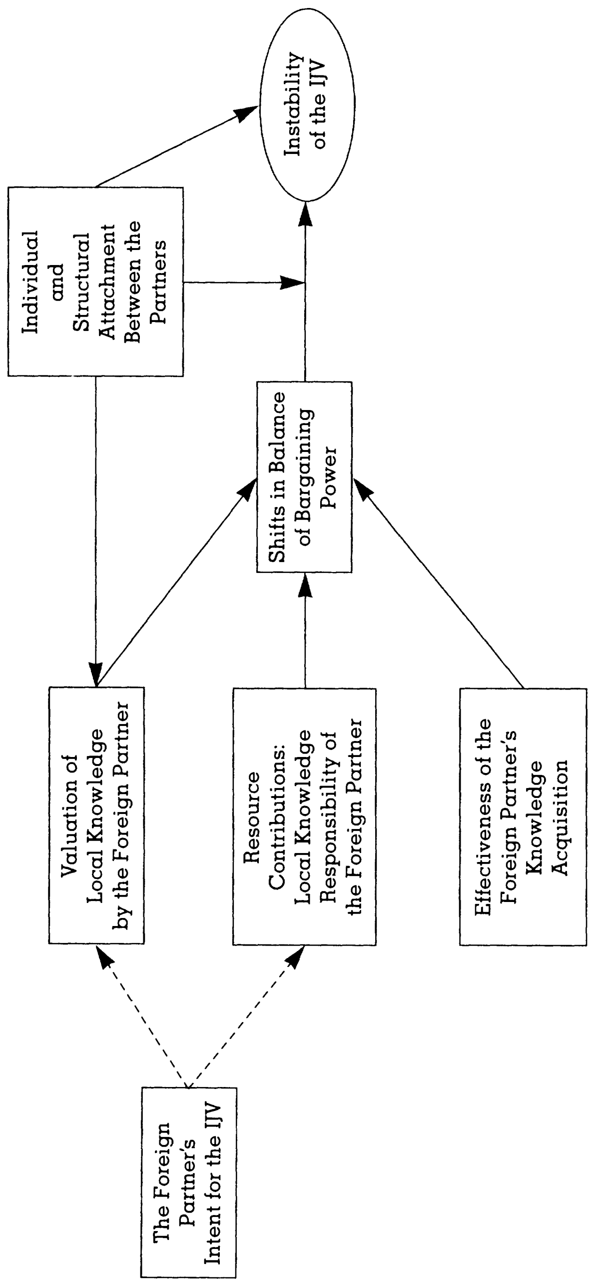


FIGURE 2
Instability of the International Joint Venture (IJV) and the Foreign Partner's Bargaining Power



given shared organizational meaning (Daft & Weick, 1984; Nonaka, 1994). The translation of new knowledge into organizational action is the basis for creating new skills that underpin a firm's competitive advantage. Of particular interest in this article is the knowledge that enables firms involved in IJVs to eliminate dependencies on their partners.

A FRAMEWORK OF INSTABILITY IN IJVs

Through a focus on partner knowledge acquisition that shifts bargaining power, Figure 2 illustrates the framework of the instability of the IJV. As discussed in the previous section, the initial balance of power between partners of the IJV will inevitably shift. In the next sections, we examine the factors associated with these shifts in bargaining power, and from this discussion, we generate specific propositions.

Knowledge Acquisition by the Foreign Partner

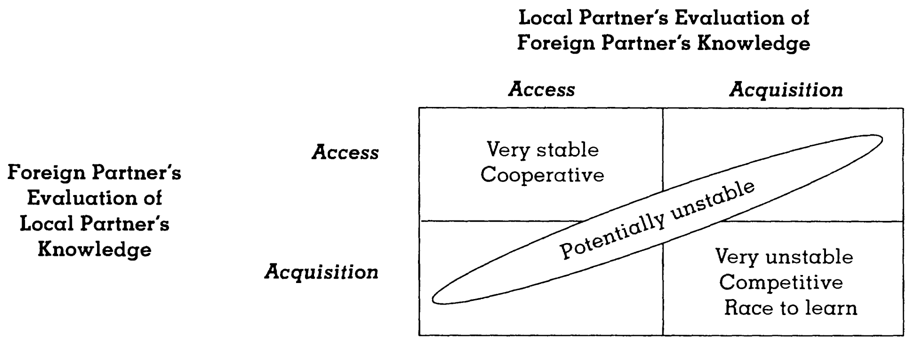
Knowledge of the local environment is usually a key resource of local partners; it is also a key source of bargaining power, because it makes the foreign partner dependent on the local partner (Yan & Gray, 1994). As a foreign partner increases its knowledge of the local market, instability of the IJV relationship becomes more probable, because the foreign partner gains bargaining power. When the JV was formed, local knowledge may have contributed to the mutual needs of the partners (Beamish, 1988). When the need dissipates, and the foreign partner acquires local knowledge, the foreign partner may view a JV as unnecessary. In effect, over time, the unique domain of the local partner shifts from being complementary to the foreign partner to being undistinguished (Ring & Van de Ven, 1994). This line of reasoning leads to the following proposition:

> *Proposition 1: As the foreign partner's local knowledge increases, the foreign partner's dependence on the local partner decreases, leading to a shift in bargaining power and greater likelihood of the instability of the IJV.*

A reduction in the foreign partner's commitment to the IJV and need for its partner need does not always mean the foreign partner will acquire the IJV business or establish a subsidiary. As the foreign partner increases its local knowledge, various outcomes are possible. For example, an increase in knowledge that erased a partner dependency plus a desire to maintain a presence in the local market were the circumstances prompting Ralston Purina, Bayer AG, Monsanto Co., and Sandoz to convert alliances to subsidiaries in Japan (Ono, 1991).[5] In Ralston Purina's

[5] A popular stereotype is that of a "naive" U.S. firm contributing technology and a Japanese firm contributing local knowledge to a Japan-based JV. After several years of operation, the Japanese company is familiar with the technology and no longer needs the JV, whereas the U.S. firm has gained nothing in the local market. There is no systematic

FIGURE 3
Knowledge Acquisition and Instability



case, the firm ended its 20-year venture with Taiyo Fishery Company and established a wholly owned Japanese subsidiary. After gaining experience in Japan, Ralston Purina's management apparently decided that a Japanese partner was no longer necessary.

Alternatively, as the foreign partner learns about local market realities, it may decide to withdraw from the market. In contrast, the foreign partner may seek a more prominent role in the management of the JV, leading to conflict over the division of control, which in turn could lead to an unstable relationship. Finally, as we discuss in another section, the embedded history of prior relationships between the partners may be a stabilizing factor that counterbalances shifts in bargaining power.

Knowledge Acquisition by the Local Partner

In contrast to the foreign partner's building of a local knowledge base, the local partner may acquire the skills of its foreign partner, making the IJV redundant, because the foreign partner's skill-based resource contributions are no longer needed. In their study of U.S.-China JVs, Yan and Gray (1994) found that for Chinese firms in IJVs, the overwhelming goal in cooperating with Western firms was to learn the more advanced Western technology. The Chinese partners fully expected that management would shift from the foreigners to them. However, Yan and Gray (1994) concluded that the Chinese partners did not significantly gain bargaining power through knowledge, because the U.S. partners protected

evidence to support this argument. Many technology-licensing arrangements in Japan have ended this way, but these were not JVs designed to enter the Japanese market. As the Purina, Monsanto, Bayer, and Sandoz cases suggest, foreign firms in Japan are capable of making their local partners obsolete. According to Jones and Shill (1993), the survival record of Western-Japanese alliances in Japan is very good. These authors studied 200 alliances that were terminated and found that, on average, the alliances lasted 20 years.

their technologies. Also, the U.S. partners were able to maintain the original balance of bargaining power by making additional resource commitments to their technological capabilities.

Even if local partners have unhindered access to the foreign partner's skills, the knowledge required to eliminate a foreign dependency is usually more difficult to acquire for the local partner than for the foreign partner. The New United Motor Manufacturing Inc. (NUMMI) JV in California between General Motors and Toyota illustrates this point. Because NUMMI had been managed by Toyota, Toyota's managers were forced to learn how to work with American workers and labor unions. Toyota has deployed its new knowledge in a wholly owned plant in Georgetown, Kentucky. As described by a senior manager at Toyota, that knowledge came directly from Toyota's NUMMI experience (Sasaki, 1993).

Hedlund (1994) distinguished among three forms of knowledge: (a) cognitive knowledge in the form of mental constructs, (b) skills, and (c) knowledge embodied in products and well-defined services. Hedlund suggested that embodied knowledge was the easiest to transfer, followed by cognitive knowledge, and skills were most difficult to transfer. Skills, such as complex engineering processes, are highly embedded in organizational routines (Nelson & Winter, 1982) and, therefore, are difficult to extract from another firm. Also, the foreign partner can take explicit measures to protect the transparency of its skills, particularly if the skills comprise explicit knowledge held by a few "experts" (e.g., Kentucky Fried Chicken's secret recipe of herbs and spices). Local knowledge, such as investment regulations, supplier practices, labor laws, and cultural traditions, can be classified primarily as cognitive knowledge. Cognitive knowledge is usually easier to transfer than are skills, because it is not as sensitive to team embeddedness (Zander, 1991, cited in Hedlund, 1994). In many cases, it is tacit knowledge (Polanyi, 1966) that is highly contact dependent; for IJVs, the context is the local environment. Because this knowledge often comes packaged in the form of individuals (Hedlund, 1994), foreign partners can gain access to the knowledge through active managerial involvement in the IJV process. In other words, the experience of the managers in an IJV is the key to acquiring this type of knowledge (Nonaka & Takeuchi, 1995).

The skills provided by the foreign partner, such as how to manufacture high-precision products, will consist of a combination of both tacit and explicit, or codifiable, knowledge. The explicit knowledge that can be expressed in schemata, diagrams, and charts is relatively easy to transfer, although as Zander (1991) found, codifiability does not necessarily lead to faster competitor imitation. Because tacit and explicit knowledge are mutually complementary (Nonaka & Takeuchi, 1995), there will be a strong tacit dimension associated with how to use and implement the explicit knowledge. This tacit and difficult dimension is the "glue" that holds together the organizational routines associated with the foreign partner's skills.

Empirical evidence supports the previous arguments. Hamel (1991) found that market intelligence was transfered between alliance partners more easily than knowledge of leading-edge manufacturing skills. The local partners in Yan and Gray's (1994) study encountered significant difficulty in learning from their U.S. partners. When successfully implementing a local strategy in the United States, Toyota's executives needed only to learn how to transfer an existing management process to North America. For General Motors to reduce its dependency on Toyota, changes in very fundamental operating philosophies were required (Badaracco, 1991; Sasaki, 1993). The local knowledge that Toyota needed was more accessible and easier to internalize than the knowledge base that General Motors had to build. Finally, Hennart, Roehl, and Zietlow (1995) studied Japanese JVs in the United States and found that when JVs were terminated, the more common scenario involved the Japanese partner acquiring the JV business, and by implication, the local knowledge necessary to run the business.

In summary, knowledge acquisition by either partner has the potential to shift the balance of bargaining power that, in turn, could lead to the initiation of changes in the partner relationship. This is illustrated in Figure 3. To the extent that the balance of power shifts sufficiently to lead to instability, it is more likely that the underlying cause is knowledge acquisition by the foreign partner compared to knowledge acquisition by the local partner. We also expect that the "skilling" of the local partner (leaking the foreign partner's skills to the local partner) should be less likely in IJVs than in other types of alliances, most notably technology-sharing relationships or R&D alliances. This is because a JV is a separate entity, in which the local partner may have difficulty penetrating the venture's boundaries to gain access to the foreign partner's skills. The foreign partner may put up barriers to keep the local partner outside specific skill areas. In contrast, there are fewer boundaries in a technology-sharing relationship, which increases the risk that organizational skills may be appropriated by a partner (for a discussion of learning in R&D alliances from a domestic perspective, see Young & Olk, 1994). There is little question that particularly in the 1960s, many Japanese firms used licensing arrangements as a source for learning their partner's skills (Reich & Mankin, 1986).

The Value of Local Knowledge

The preceding discussion focused on the *effect* of IJV stability posed when partner knowledge acquisition leads to changes in partner dependency. An equally important issue is why, in some IJVs, foreign partners aggressively seek to acquire local knowledge, but in other IJVs, they do not. We examine this question by starting with a key assumption: When an IJV is formed, the contribution of local knowledge by the local partner has strategic value to the foreign partner (Yan & Gray, 1994). Until the foreign partner acquires sufficient local knowledge to operate autonomously, the foreign partner will continue to depend on its local partner.

The foreign partner's valuation of local knowledge involves two stages. The first stage occurs prior to the formation of the IJV when the foreign partner considers the value associated with gaining access to a potential partner's local knowledge. If gaining access to a partner's local knowledge satisfies the foreign partner's resource requirements, an IJV may result. The second stage occurs after the formation of the IJV, when the foreign partner gains access to local knowledge. The question for the foreign partner now becomes: Is access sufficient, or should the knowledge be acquired?

A foreign firm involved in an IJV can choose what resources and how much it can devote to gaining local knowledge acquisition. Acquiring local knowledge *enables* a foreign partner to reduce its commitment to collaboration. If a foreign partner places high strategic value on access to and acquisition of local knowledge, shifts in bargaining power become more likely, because it is likely that the foreign partner will not be content with access alone. Thus, Figure 2 shows a direct relationship between the valuation of local knowledge and shifts in the balance of the bargaining power.

> *Proposition 2: The strategic value of local knowledge to the foreign partner will be positively related to shifts in IJV bargaining power.*

Proposition 2 is a refinement of Proposition 1. Proposition 1 suggests that the foreign partner's knowledge of local conditions will inevitably increase over time, simply because the foreign partner is in the host country. This process represents passive knowledge acquisition. Proposition 2 implies active knowledge acquisition by the foreign partner that can shift the JV bargaining power away from the local partner.

Why would a foreign partner actively seek to acquire local knowledge? The critical factor is the strategic intent of the foreign partner. Firms often utilize IJVs as an entry mode in an effort to balance their desire for international product/market diversification and growth with their perceived need for control. The subsequent desire to acquire local knowledge will be driven by various strategic factors. The decision to acquire local knowledge may reflect a desire to increase control over the IJV because of a shift in the strategic importance of the venture (Harrigan & Newman, 1990) or because of the increased importance of the local market. Alternatively, a foreign partner's increased concerns about leaking proprietary technology to the local partner may result in its acquiring local knowledge.

A partner's decision not to acquire local knowledge may reflect the cost of this acquisition. Previously, we used the example of Kentucky Fried Chicken. In order for Kentucky Fried Chicken to eliminate a dependency in China, the firm would have to learn many complex investment regulations, local operating laws, and so on. Although this knowledge was possible, it could be very expensive, and there was no guarantee of success. Finally, acquiring local knowledge may be in response to the foreign partner's recognition that the original IJV agreement was an obsolescing bargain (Vernon, 1977), because the local partner has little to contribute on an ongoing basis.

Factors Influencing Acquisition of Local Knowledge

When a foreign partner has a strategic objective of acquisition and proprietary control over local knowledge, the speed of knowledge acquisition that is necessary to shift bargaining power will be influenced by two key factors: (a) the foreign partner's effectiveness in acquiring local knowledge and (b) the initial resource contributions of the partners.

Effectiveness in acquiring local knowledge. Although a foreign partner's acquisition of local knowledge can occur passively over time, explicit efforts to acquire this knowledge are of greater interest. This leads to the premise that knowledge acquisition is an organizational process that can be managed by the foreign partner (Hedlund & Nonaka, 1993; Nonaka, 1994). The process of acquiring knowledge that originates with an IJV partner is, in effect, the process of creating organizational knowledge (Nonaka, 1994). Creating organizational knowledge is not simply a matter of learning from others or acquiring knowledge from outside (Nonaka & Takeuchi, 1995). It is a complex organizational process involving various organizational levels and actors. Through this process, specific knowledge becomes amplified throughout the organization. To capture the dynamic movement of knowledge across various organizational levels, Nonaka (1994) developed the concept of a spiral of knowledge creation. In the spiral, knowledge moves upward in an organization; it begins at the individual level, moves to the group level, and finally moves to the firm level. As the knowledge spirals upward in the organization, individuals interact with each other and with their organizations.

In an IJV, managers assigned to the venture from the foreign parent will be exposed to various aspects of local knowledge. Clearly, these managers will develop new ideas about conducting business in the local environment. However, in order for that local knowledge to be internalized at the parent organizational level, there must be knowledge connections among the various organizational levels to create the potential for individuals to share their observations and experiences (Von Krogh, Roos, & Slocum, 1994). These knowledge connections provide a basis for transforming individual knowledge into organizational knowledge. An organization's set of internal managerial relationships facilitates the sharing and communicating of new knowledge.

Although the process of knowledge creation is nonlinear and interactive, specific organizational conditions can be identified that promote this process (Nevis, DiBella, & Gould, 1995; Nonaka & Takeuchi, 1995). Drawing on Nonaka and Takeuchi's (1995) work, empirical researchers using the JV context have identified several key factors that contribute to the ability of firms to acquire knowledge associated with their IJVs (Inkpen, In press). These factors include partner intention, top management commitment, and tolerance for information redundancy. The absence of these factors creates obstacles to knowledge creation. Although a detailed examination of these factors is beyond the scope of this article, it is important to recognize that the foreign partner's effectiveness in acquiring knowledge will influence its bargaining power. If a foreign partner is ineffective at knowledge creation (and more specifically at acquiring local knowledge), it will not be able to reduce its dependency on the local partner.

> *Proposition 3: There will be a positive relationship between the foreign partner's effectiveness in acquiring local knowledge and shifts in bargaining power.*

Resource contributions of the partners. When a JV is formed, the partners must allocate responsibility for various decision areas (Geringer & Hebert, 1989; Killing, 1983). This allocation of responsibility is the basis for determining the resources and capabilities committed by the partners to the JV (Yan & Gray, 1994). These resource contributions are negotiated by the partners, and they are an important factor in determining the initial balance of power.

In an IJV, the local partner is usually expected to contribute important local knowledge. However, this does not mean that the foreign partner cannot contribute resources associated with local management. For example, in many of the Japanese-American JVs formed to supply U.S.-based automotive transplants, the Japanese partners controlled local marketing functions (Womack, 1988). Therefore, the American partners contributed local knowledge confined to areas such as legal process, workforce management, and some supplier management. Without control over local marketing, American partners were in a vulnerable position should their Japanese partners seek to acquire further local knowledge.

Initial resource contributions of the partners, as determined by the allocation of strategic responsibilities, will play an important role in stability of the IJV, because of their influence on the complexity of the foreign partner's knowledge acquisition task. By relinquishing local responsibilities to the foreign partner when the venture is formed, the local partner provides the foreign partner with an incentive to gain complete local knowledge and, hence, to increase its bargaining power. The acquisition of local knowledge by the foreign partner also is simplified if the JV starts out with the responsibility for key local knowledge belonging to the foreign partner.

Thus, we predict that initial resource contributions made to an IJV will influence subsequent shifts in bargaining power. It has already been established that firms will differ in how effective they will be at acquiring knowledge. The foreign partner's responsibility for local knowledge at the time the IJV is formed will determine the nature of the knowledge-acquisition task necessary to reduce a partner dependency. If the foreign partner views the task as complex, it may be dissuaded from acquiring additional knowledge. In contrast, if the foreign partner views the task as relatively simple, it is likely that it will acquire more knowledge, and likelihood for shifts in bargaining power will be greater. Thus, the foreign partner's responsibility for local knowledge will be related to the likelihood of shifts in bargaining power.

Proposition 4: The greater the responsibility for local knowledge initially allocated to the foreign partner, the more likely that the foreign partner will seek additional local knowledge from the local partner and the more likely that bargaining power will shift.

Regardless of the speed of local knowledge acquisition, it is important to emphasize that when a foreign partner has the explicit intent to gain knowledge, the local partner is in a vulnerable position. In IJVs in developing countries, the vulnerability of the local partners can be high if the local partner is not a competitive threat to the foreign partner outside the IJV's country of domicile. In this case, the foreign partner is usually larger and has greater international scope; therefore, local partners may not be able to prevent a foreign partner from increasing its local knowledge. It is also unrealistic to expect foreign partners to complacently ignore the opportunity to increase their local knowledge. However, as Dymsza (1988) noted, the foreign firm's contribution may become less important over time if the firm from the developing country is committed to increasing its skills.

Furthermore, if the value of local knowledge declines, in terms of either access or acquisition, the foreign partner may choose to end the venture. For example, local knowledge may decline in value if changes in local regulations open up a previously closed economy to greater competition.

Attachment Between the Partners

Attachment is the binding of one party to another (Salancik, 1977). Attachment between partners develops through experience in the collaborative relationship and through investments the partners make in the relationship over time (Seabright et al., 1992). When the partners have developed a strong attachment, inertial forces may block the pressures for change in the relationship (Blau, 1964; Salancik, 1977). If firms have worked together in the past, they will have a basic understanding about each other's skills and capabilities (Heide & Miner, 1992). The partners may have developed commitments to each other because of a relationship that existed prior to forming the JV. According to Parkhe (1993a: 803), "The older a relationship, the greater the likelihood it has passed through a critical shakeout period of conflict and influence attempts by both sides."

Because of prior relationships, firms often form JVs with firms with whom they have transacted in the past. For example, in a study of 40 IJVs, Inkpen (1995a) found that in 24 cases, the partners had previously worked together. An MNE's knowledge about its local partner, generated through previous interactions, also can play an important role in determining its equity position in the host country (Sohn, 1994).

Attachments in collaborative relationships may be the result of individual or structural ties that reflect the prior history of the relationship (Seabright et al., 1992). Individual attachment reflects the socialization by individuals during their involvement in exchange activities. Seabright and colleagues (1992) suggested that individual attachments are important early in a relationship but that they diminish in significance as the relationship persists. In IJVs, individual attachment may be represented by personal relationships between partners' managers. Such managers may initiate a relationship based on personal knowledge and trust that in the early years of the JV provides a buffer against the normal pressures of collaboration. It is common in IJVs for a partner's senior managers to take an active interest in the JV process and make a commitment to working with top managers from the other partner(s). Ring and Van de Ven (1994) suggested that personal bonds of friendship can lead to norms of group inclusion and escalate the commitment by parties to a cooperative relationship. They proposed that the likelihood of termination of interorganizational relationships decreased over time, because economic exchanges become transformed into socially embedded relationships.

Individual attachments are closely related to the tenure of individual boundary-spanning managers involved in the IJV (Seabright et al., 1992). A high turnover of managers can lead to a loss of relationship continuity and a reduction of individual attachment. Structural attachment reflects the history of organizational investments made since the formation of the IJV (Seabright et al., 1992). Structural attachments should increase with the duration of the relationship as formalized procedures replace some of the coordination of IJV activities through personal contact (Van de Ven, 1976).

Continuing business relationships often become overlaid with social content that generates strong expectations of trust and forbearance (Granovetter, 1985). Thus, attachment can lead to the formation of JVs that have an existing stock of "relationship assets" (Fichman & Levinthal, 1991) and a high degree of interpartner trust (Gulati, 1995). Parkhe (1991) suggested that the unplanned termination of an IJV is more likely when firms are working together for the first time. Kogut (1989) found that structural ties between JV partners were negatively related to JV dissolution. Kogut's variable for structured ties was a composite of three types of relationships: supply, other JVs, and licensing agreements. Thus, we predict that attachment exerts a main effect on the likelihood of instability.

> *Proposition 5: The greater the individual or structural attachment between the IJV partners, the lower the likelihood of IJV instability.*

The central theme of this article is that shifts in partner bargaining power are the underlying cause of instability in IJVs. As a firm acquires knowledge that reduces its dependency on its IJV partner, the likelihood of instability increases. As we argued previously in the case of the foreign partner, knowledge of local conditions will inevitably increase over time, simply because the foreign partner is now located in the host country. An IJV partner also may actively engage in acquiring knowledge, which results in reduced partner dependency and a shift in bargaining power. However, because of attachment, the shift in bargaining power associated with knowledge acquisition will not necessarily lead to instability in IJVs.

Blau (1964) and Cook (1977) argued that attachment can lead to maintaining a relationship that provides fewer of the needed resources than it originally did. Seabright and colleagues (1992: 123) suggested that attachment "constitutes a counterforce to change rather than a pressure for change. . . . In this manner, attachment may attenuate the effects of changes affecting resource fit on the likelihood of a relationship dissolving." This discussion suggests that attachment can moderate the effects of shifts in bargaining power. Thus, the effect of shifts in bargaining power on the likelihood of instability decreases as attachment increases.

> *Proposition 6: The greater the individual and structural attachment between IJV partners, the lower the effect of shifts in bargaining power on the likelihood of IJV instability.*

The argument that relationship investments and attachments can moderate the forces of shifts in bargaining power may appear counter to the previous discussion on resource fit and the termination of relationships for the inverse of the reasons for which they were formed. IJVs involve many layers of interfirm complexity (Harrigan & Newman, 1990). Our view is that in any IJV, there will be both resource fit and attachment implications, which may exert opposing forces on the stability of the relationship. The forces may lead to what we term *dormant instability.*[6] When the foreign partner acquires sufficient local knowledge to destabilize the IJV, a situation of dormant instability (or superficial stability from the opposite perspective) results. Thus, the foreign partner may choose to reorient or restructure the relationship, or, because of attachment, it may be willing to let the potential instability lie dormant. In any event, once the local knowledge is acquired by the foreign partner, the balance of power between the partners has shifted. This dormant instability may ultimately have a destabilizing impact on the IJV, because both partners

[6] Our thanks to an anonymous reviewer for suggesting this point.

now understand that the foreign partner's voluntary dependence on the local partner's knowledge contributions may not last. This situation also may lead to resentment by the local partner, which in itself is a source of instability.

Attachment and the valuation of knowledge. Our proposed framework incorporates the dynamic nature of IJVs. A foreign partner's valuation of local knowledge will be influenced by both strategic factors and by the strength of the partner relationship. This valuation is represented in Figure 2 by the feedback loop from attachment to the valuation of local knowledge by the foreign partner. Attachment is the result of an evolving history of partner interactions. When an IJV is formed, attachments may be present that may have developed either through prior interfirm relationships or during the negotiation stage. As the duration of an IJV increases, structural attachments will likely continue to develop. Individual attachments may increase or decrease, depending on the continuity of managers involved in the IJV. As the level of attachment changes, we predict that this shift will influence the foreign partner's evaluation of the strategic value associated with its partner's local knowledge.

> *Proposition 7: Changes in individual and structural attachment between IJV partners will lead to updating of the foreign partner's valuation of local knowledge.*

Managerial Implications

For a foreign firm that is interested in maintaining a stable, long-term IJV relationship, this article has several implications. First, explicit attempts to build knowledge of the local country by capitalizing on the local partner's experience are usually transparent and may be interpreted by local partners as competitive rather than collaborative in nature. Second, IJV partners may have to let their IJV develop its own culture and systems. General Electric has followed this strategy with its successful Japanese JVs. GE has leveraged its Japanese partners' names to recruit personnel for its JVs and allowed its JVs to develop into independent companies without interference from the parents in day-to-day management (Turpin, 1993). Third, continuity in the personal relationships between the top management of both partners can be an important source of attachment between the partners. Without continuity, there is the risk of "corporate amnesia," whereby managers in the parent companies forget their original motivation for this alliance and the past lessons from their relationship (Turpin, 1993).

Toppan Moore, a JV between Toppan Printing of Japan and Moore Corporation (Moore) of Canada, provides a good example of a stable, long-lasting collaboration (Beamish & Makino, 1994). With 1994 revenues of more than $1.5 billion and more than 3,000 employees, Toppan Moore was Japan's largest company that produced business forms and its third largest printing company. In this, Moore contributed manufacturing and product technologies, and the Japanese partner assumed initial responsibility for sales, distribution, and local marketing support.[7] Over time, the JV modified products to meet the requirements of Japanese customers and developed its own production capabilities, reducing its day-to-day dependence on Moore. Moore maintained its bargaining power by continuing to make technological and marketing contributions. Although the Japanese partner's immediate operational need for Moore lessened, access to future technological developments remained an important aspect of the relationship. Consequently, the advantages of collaboration for Moore and Toppan Printing continued to outweigh the need for competition.

Local partners and the control of instability. When a local partner is interested in stability, it should consider several ideas associated with controlling IJV stability and minimizing the foreign partner's acquisition of local knowledge. First, the local partner can discourage the foreign partner from sending large numbers of managers to the venture. As we indicated previously, knowledge creation in organizations begins with individuals. The greater the number of foreign managers at the IJV, the greater the foreign partner's access to local knowledge. Second, the local partner can continue to actively invest in local knowledge. In other words, the local partner should not treats its knowledge contributions passively, but it should continue to upgrade the value of the knowledge to the foreign partner. Third, the local partner can consider the track records of potential partners, particularly how long other IJVs that they were a part of have survived. This record should provide an indication of the foreign partner's expectations regarding the role of the local partner. Finally, the local partner can bargain for greater responsibility in managing the JV and, in effect, increase the importance of its role in the venture's success.

CONCLUSION

When JVs are formed to exploit interfirm differences in skills, there is always the risk that one partner may acquire knowledge that it lacked when the alliance was formed (Parkhe, 1993b). In fact, many firms enter JVs with the objective to gain explicit knowledge (Hamel, 1991; Inkpen, 1995a). When knowledge acquisition shifts the balance of bargaining power between partners, the cooperative basis for the JV may erode, and venture instability may result. Even though this argument applies to any JV in which partner knowledge contributions create a dependency, the focus in this article was on IJVs and the specific nature of local knowledge. When a JV is international and the foreign partner seeks to expand

[7] Given the difficulty in penetrating Japanese markets, it is unlikely that Moore was in a position to control sales and distribution in the JV when it was formed. However, the examples of Ralston Purina, Bayer AG, and Monsanto Co. suggest that foreign firms can acquire local marketing knowledge over time.

its geographic scope of operations, the local partner's knowledge of local economic, political, and cultural environments will be a key contribution to the JV. Our main argument is that once the venture is formed, if the foreign partner attaches a high value to the acquisition of local knowledge and has the ability to acquire the knowledge, the probability of JV instability increases. Once the foreign partner has acquired local knowledge, unless the local partner is contributing other valuable and nonimitable skills to the JV, the rationale for cooperation will be eliminated. Instability may be the result, although attachment between the partners may moderate the shifts in bargaining power. Thus, the acquisition of local knowledge is an enabling device for the foreign partner to operate autonomously.

Although some ventures are formed in which the partners agree on a termination plan, this article was focused on instability as an undesirable event for one or all partners. Given its undesirability, if a local partner takes steps to ensure that its role encompasses more than simply contributing local knowledge, instability may be controllable. A foreign partner also may choose as a viable strategy access of local knowledge rather than acquisition of the knowledge. Consequently, IJVs can be stable and sustainable arrangements for creating competitive advantage.

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